

CITY OF SUNNYVALE

10-Year Financial Review

FY2016 – FY2025

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Three Questions That Guided This Research

01

City Got
Wealthier

\$728M → \$1,654M

+127%

02

Where Does Revenue
Go & Where Is It Spent?

Revenue & Expense

Sources, Mix & Trends

03

What Does the
Future Look Like?

**If key sources
change**

If conditions change

Net Position

10-year, government-wide (\$M)



\$728M

2016 Baseline

\$820M

2018 Dip

\$1,403M

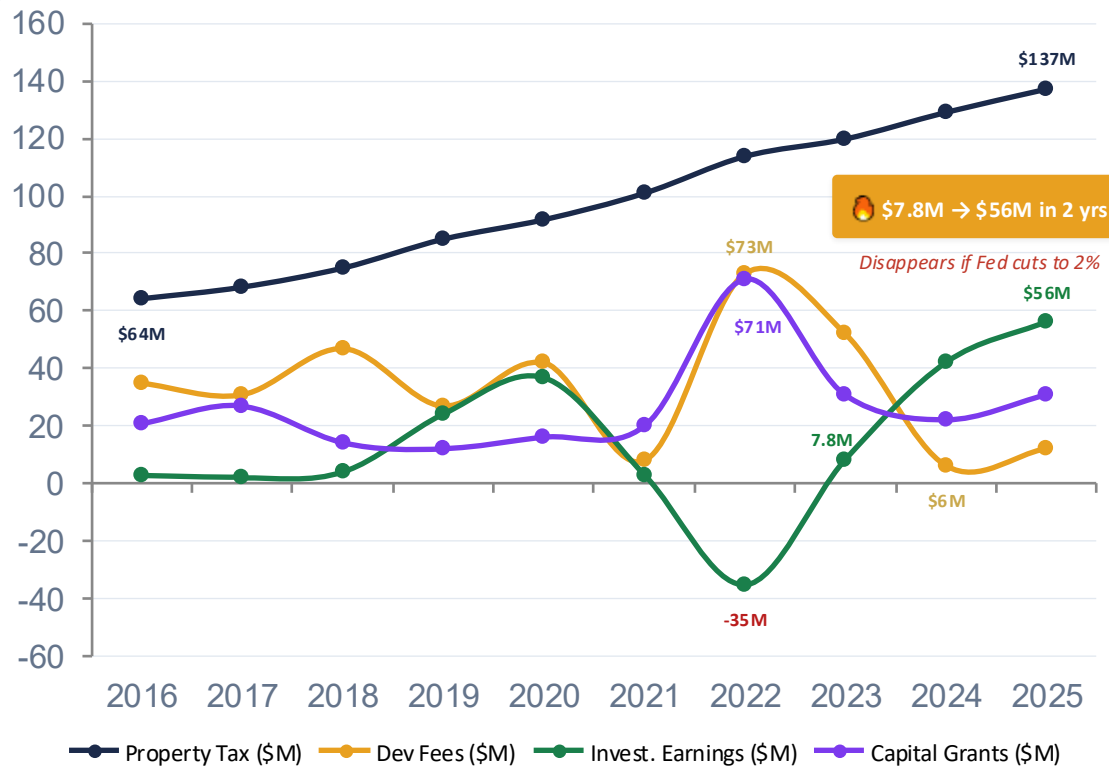
2022 +\$279M

\$1,654M

2025 All-time High

What Drove the Growth?

Four engines — very different reliability



Property Tax

Reliable

+114% in 9 yrs

⚠ Slows only if Silicon Valley office vacancy rises substantially

Dev Fees

Volatile

\$8M ↔ \$73M swings

⚠ FY2024 crashed to \$5.5M — entirely cycle-dependent, not structural

Invest. Earn.

Temporary

Rate-dependent

⚠ Fed rate cut to 2%: loses ~\$35M/yr overnight — not a permanent source

Capital Grants

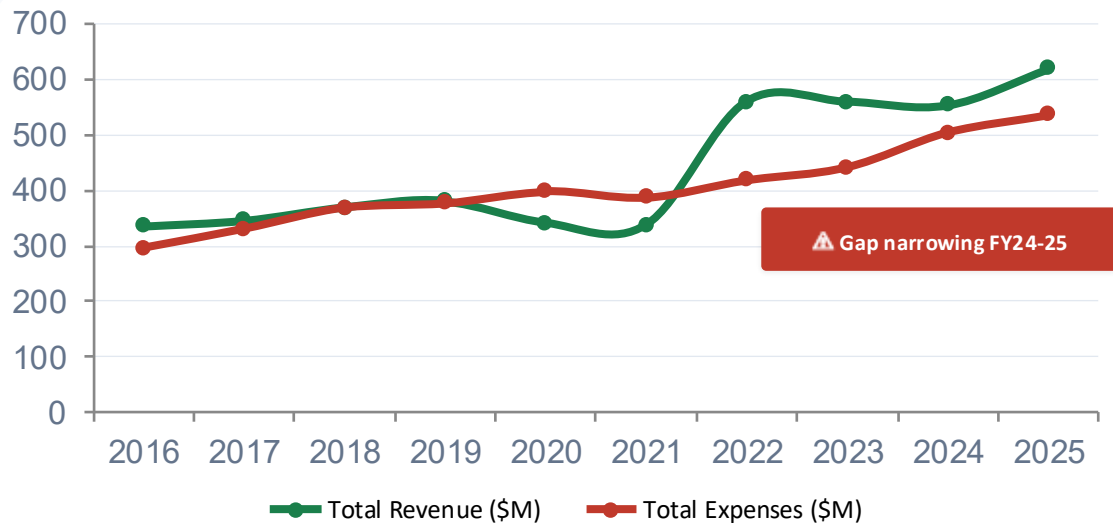
Lumpy

Project-by-project

⚠ FY2022's \$71M spike was one-time federal grants — won't repeat

Revenue vs. Expenses: 10-Year View

Total city revenues and total city expenses, government-wide (governmental + business-type activities),
FY2016–FY2025



Source: Sunnyvale ACFR FY2016–FY2025. Government-wide, accrual basis. Includes governmental and business-type activities.

	FY2023	FY2024	FY2025
Total Revenue	\$559.4M	\$553.4M	\$617.6M
Total Expenses	\$441.1M	\$502.7M	\$536.3M
Revenue Surplus	+\$118.3M	+\$50.7M	+\$81.3M

FY2023

+\$118M

Total rev \$559M vs expenses \$441M ✓

FY2024

+\$51M

Total rev \$553M vs expenses \$503M ✓

Expenses growing 2× faster than
FY2025 revenue

+\$81M

Total rev \$618M vs expenses \$536M ✓

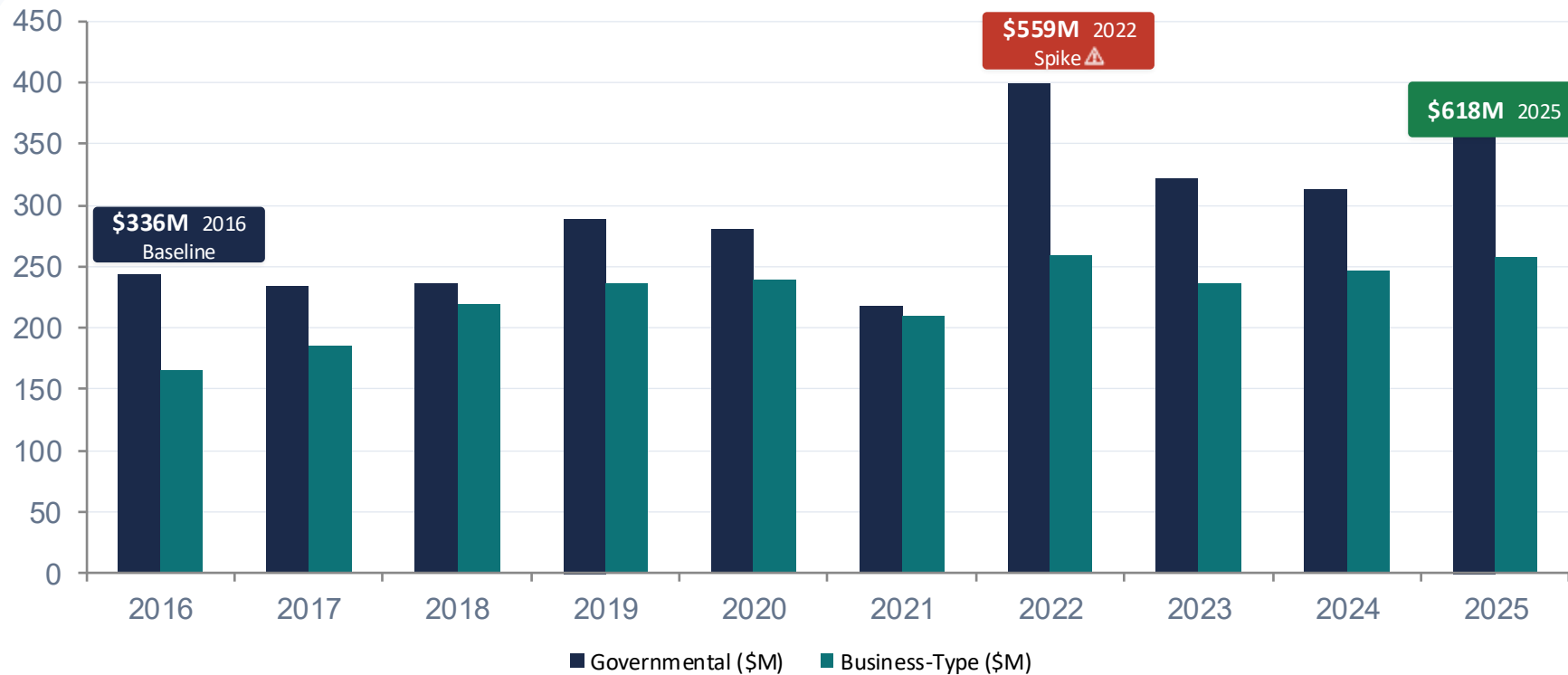
Revenue exceeded expenses

every year for 10 years

Net position grew +\$926M (2016–2025)

Total Revenues

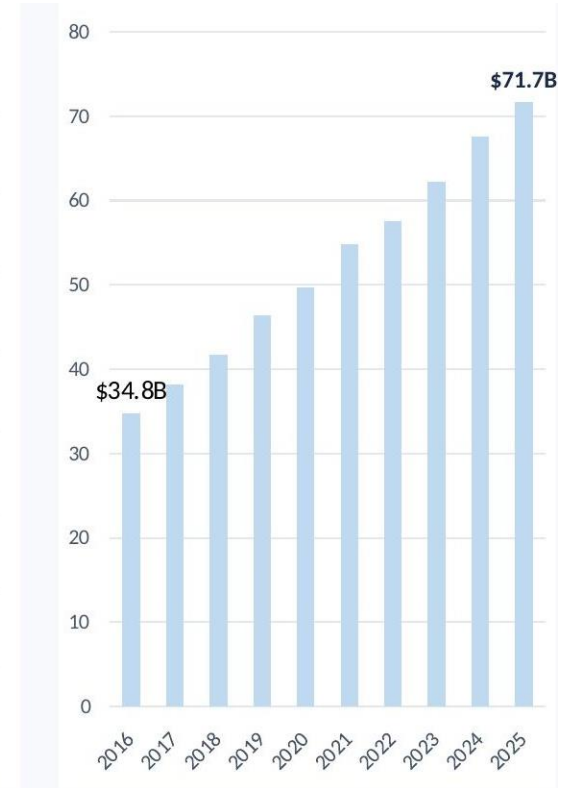
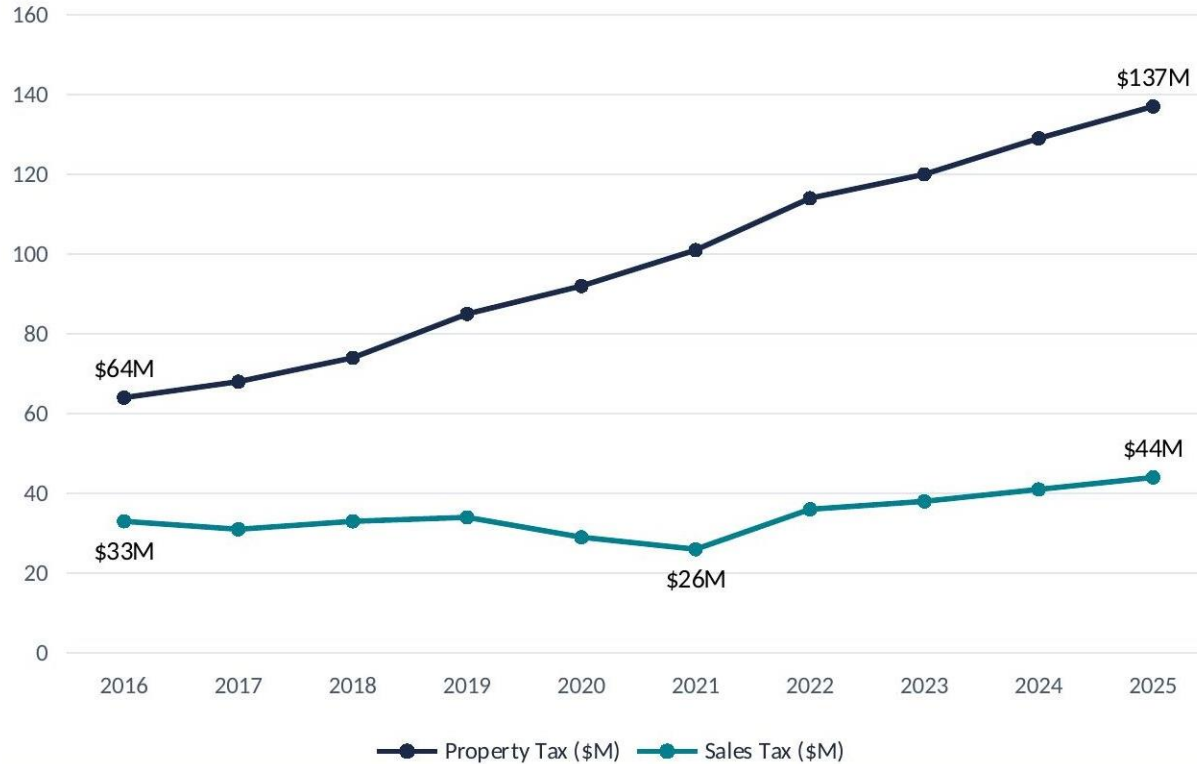
\$336M (2016) → \$618M (2025) +84%



⚠️ FY2022 spike: \$73M dev fees + \$71M capital grants — one-time items

Tax Revenue Mix

Property tax is the backbone

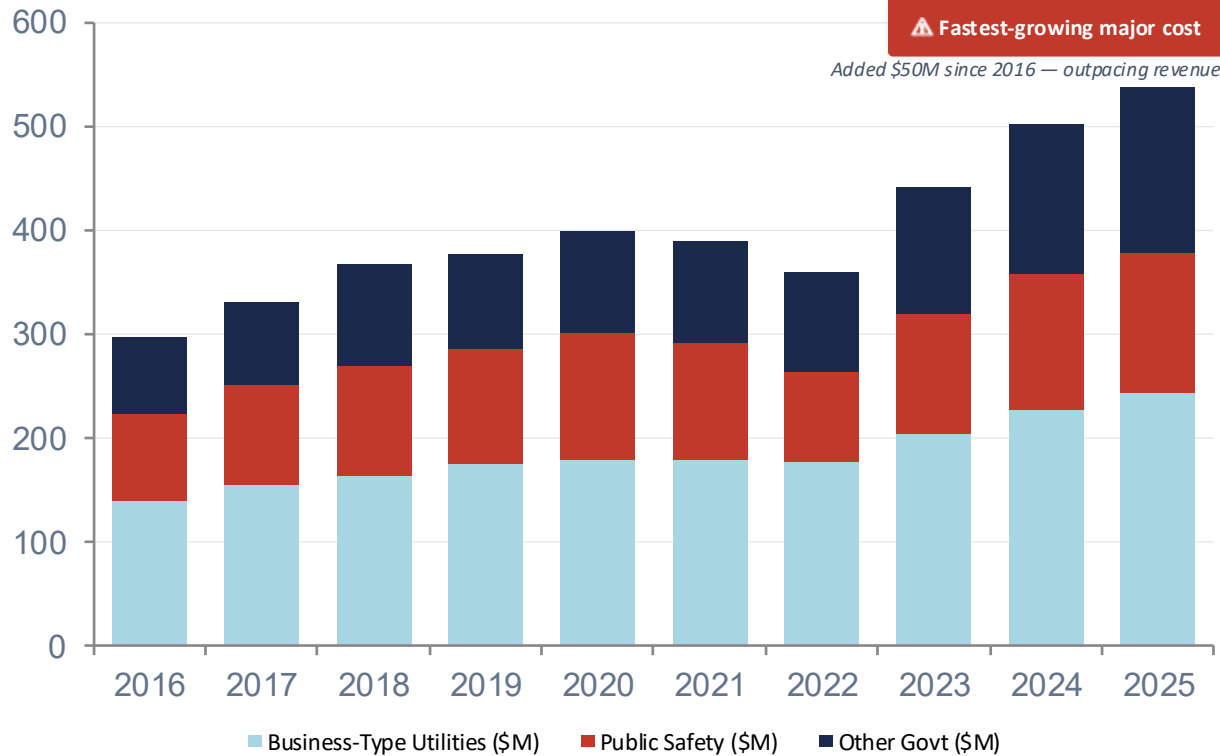


✓ Prop Tax +114% in 9 yrs

AV: \$34.8B → \$71.7B

Expenditures

\$296M (2016) → \$536M (2025) +81%



\$136M

Public Safety

+63% since 2016

\$243M

Utilities

Water, waste, solid waste

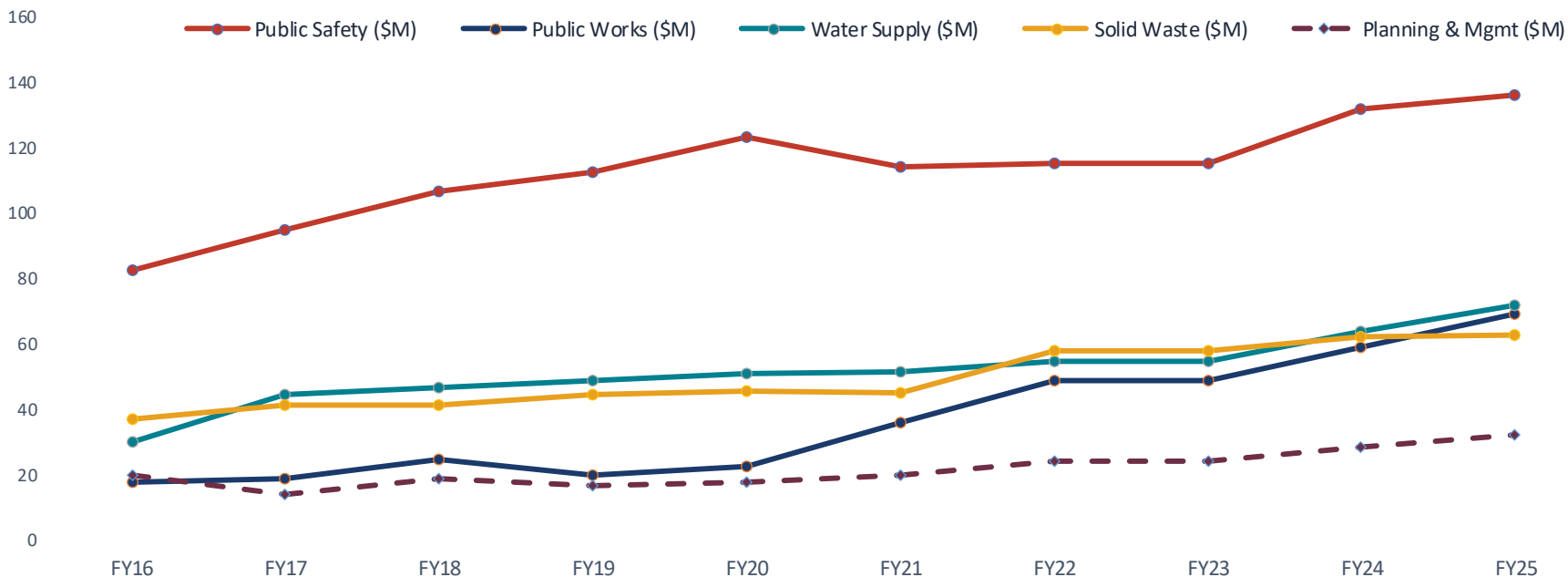
\$65M

Capital Outlay

Down from \$141M peak (FY22)

Expense Trends: What Is Growing Fastest?

Top 5 expense categories by dollar volume, FY2015–FY2025 | Source: Sunnyvale ACFR FY2015–FY2025

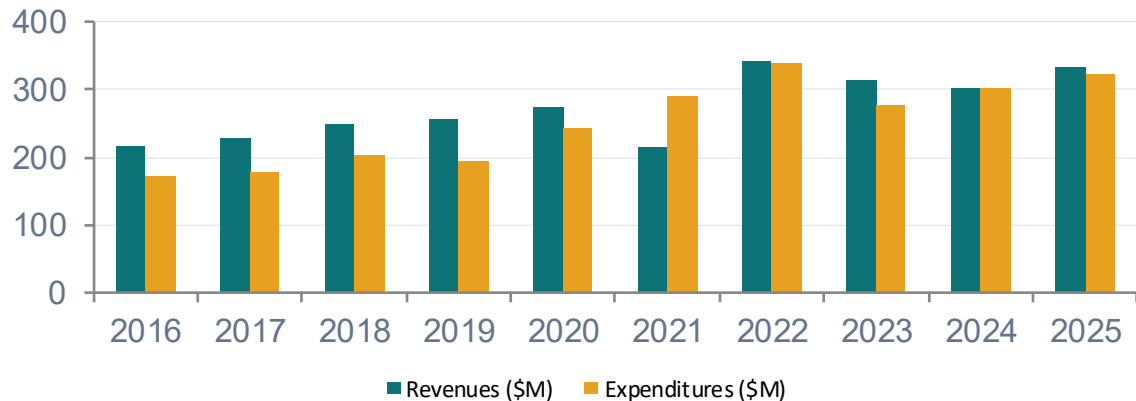


Category	FY2023	FY2024	FY2025	10yr Growth
Public Safety	\$115M	\$132M	\$136M	+65%
Public Works	\$48M	\$58M	\$69M	+305%
Water Supply	\$54M	\$63M	\$72M	+144%
Solid Waste	\$57M	\$61M	\$62M	+70%
Planning&Mgmt	\$23M	\$28M	\$32M	+65%

General Fund

Balance: \$121M → \$193M

General Fund — Revenues vs. Expenditures (\$M)



\$193.4M

FY2025 Balance

All-time high

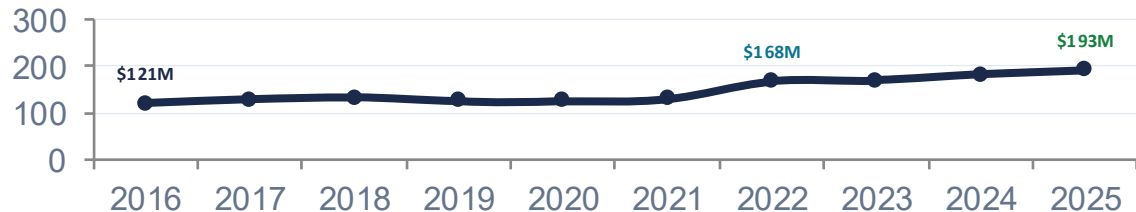
Strong cushion for unexpected shocks

54.6%

Of Annual Expenditures

Policy min: 15%

General Fund Balance (\$M)

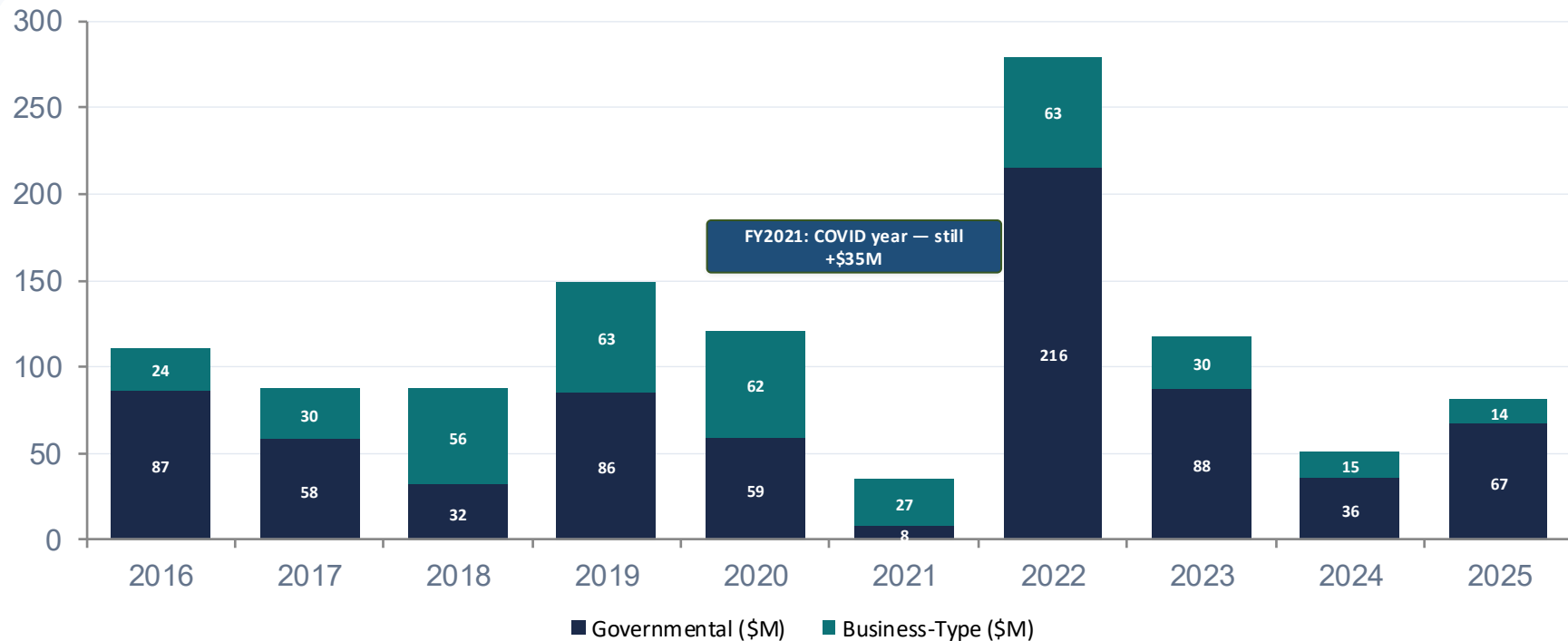


4 Reserves

- Unassigned \$129.1M
- Budget Stabilization
- CIP Reserve
- Equipment & Carryover

Annual Change in Net Position

Positive every year

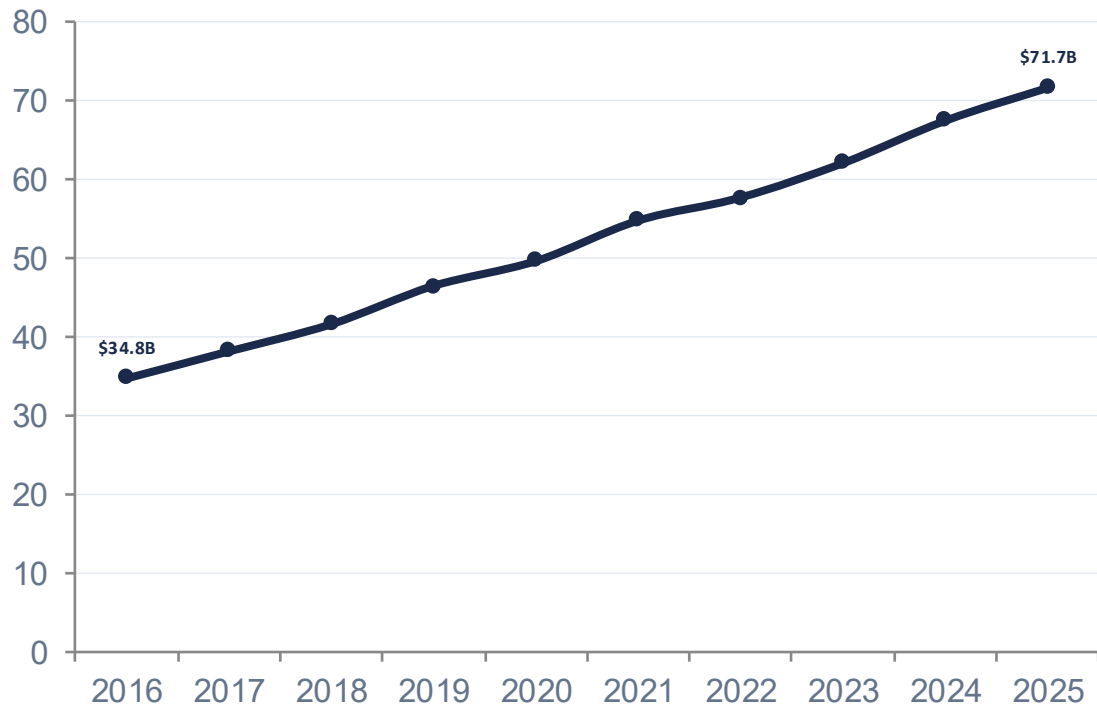


Total 9-yr gain: +\$926M | Avg/yr: +\$93M | Best: FY2022 +\$279M | Weakest: FY2021 +\$34M

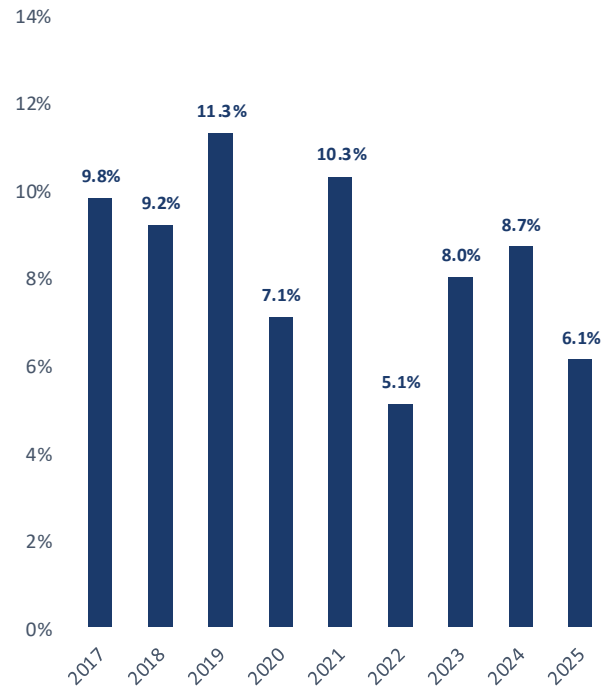
Economic Base

Silicon Valley — world-class tax base

Total Assessed Property Value (\$B)



Assessed Value: Annual Growth Rate



✓ Positive every year — lowest ever 5.1% (FY2022)

No other major California city matches this consistency

Future Scenarios

What could change the trajectory by FY2030?

A

Rates Normalize

HIGH IMPACT

-\$36M
earnings est.

⚠️ Most immediate risk

Fed cuts → 2%
\$56M → ~\$18M (est.: 2% ×
\$900M portfolio, per FY2025
ACFR)

B

Tech Slowdown

MEDIUM IMPACT

-\$33M
revenues

Vacancy ↑
Dev fees collapse

C

Infra Overrun

MED-HIGH

\$600M+ debt

SRF costs +\$500M
+\$25M/yr service

D

Base Case

FAVORABLE

NP ~\$2.0B

AV +4-5%/yr
Rates 3-4%

The Bottom Line

 Net position +127% · Every year positive · \$193M reserve

 \$71.7B assessed value · World-class Silicon Valley tax base

 \$56M invest. earnings at risk if rates fall

Could drop to ~\$18M — \$38M annual impact

 Debt 5.4× higher — needs a formal debt-management framework

 Cupertino: revenue resilience · Sunnyvale: infrastructure sustainability

 Priority #1: capture rate-windfall into a reserve before rates normalize

Sources & Methodology

Data Sources

- Sunnyvale ACFR FY2022/23 (2023 ACFR)
- Sunnyvale ACFR FY2023/24 (2024 ACFR)
- Sunnyvale ACFR FY2024/25 (2025 ACFR)
- Cupertino ACFR FY2022/23 – FY2024/25
- City of Sunnyvale FY2025/26 Adopted Budget
- Sunnyvale OPEB Plan Reports 2023–2025
- 10-Year Revenue & Expense Data (FY2016–FY2025)

Scenario Assumptions

- A — Rates Normalize**
Fed cuts → ~2%; earnings ≈ 2% × \$900M portfolio (per FY2025 ACFR).
- B — Tech Slowdown**
Commercial vacancy ↑ → dev fee & sales tax softening; –\$33M revenue est.
- C — Infrastructure Overrun**
Cleanwater +\$500M above SRF → \$600M+ total debt.
- D — Base Case**
AV +4–5%/yr, rates 3–4%, staffing +1–2%/yr → NP ~\$2.0B by FY2030.

Key Definitions

- Core Tax Revenue**
Property + sales + franchise + UUT + business license tax (General Revenues, govt-wide).
- Net Position**
Total assets + deferred outflows – total liabilities – deferred inflows. Govt-wide, GASB basis.
- General Fund Balance**
Total fund balance per Governmental Fund Statements (modified accrual basis).
- Governmental Expenses**
Governmental activities only. Excludes enterprise funds (Water, Wastewater, Solid Waste).

Methodology Note

- The Core Tax Coverage Analysis (Slide 5) compares governmental tax revenues to governmental expenses only — it does NOT compare total city revenues to total expenses.
- Business-type enterprise funds (Water, Wastewater, Solid Waste) are self-funding through user charges and excluded from the core-tax analysis. Total revenues (\$617.6M) exceeded total expenses (\$536.3M) by \$81.3M in FY2025.
- All figures are government-wide, accrual basis. Audit opinions for all years cited were unmodified (clean).

Financial Terms Cheat Sheet

Quick reference for Maya's team — review 30 minutes before the presentation

ACFR	City's audited annual financial report
Net Position	City's total net worth (assets – liabilities)
General Fund Balance	City's main operating savings account
GASB	Government accounting standards body
OPEB	Retiree healthcare obligations
CalPERS	Employee pension fund (state-managed)
SRF	Low-interest federal/state infrastructure loans
WIFIA	Federal water infrastructure financing program
Assessed Value (AV)	Official taxable value of all city property
Prop 13	CA law: 1% property tax cap, 2%/yr increase limit
Debt Service	Annual principal + interest loan payments

Coverage Ratio	Revenue + debt payments (bond covenant metric)
GFOA	Govt Finance Officers Association (best-practice body)
Core Tax Revenue	Property + sales + franchise + UUT + business license
Core Tax Shortfall	Gap when taxes don't cover govt expenses (NOT deficit)
Structural Balance	Recurring revenues fully cover recurring expenses
Investment Earnings Cliff	\$56M→\$18M when Fed cuts rates to 2% = -\$38M/yr
CDTFA	CA sales tax administrator (CDTFA ruling hurt Cupertino)
Government-Wide Stmts	Full city financials: govt + enterprise combined
Unmodified Audit Opinion	Highest auditor grade — 'financials are fairly stated'
Structural Imbalance	When recurring expenses permanently exceed recurring revenue
Debt Capacity	How much more debt the city can legally issue (\$10.5B left)

If challenged on a NUMBER → "That comes from Sunnyvale's [year] ACFR — we can pull up the source document."

If challenged on a FRAMEWORK → "This is a GFOA-recommended lens for long-range fiscal planning, defined on slide 19."

If you DON'T KNOW → "Excellent question — that would be a valuable addition to the Structural Balance Study we recommend."